CANON MEXICANA, S. DE R.L. DE C.V.

TITULO: **FIXED ASSETS MANAGEMENT**					
REF: BISGAV-004/18	INICIO VIGENCIA			VERSION	PAGINA 1 DE 3
	DIA	MES	AÑO		
	31	05	18	**1 .0**	

OBJECTIVE

Control the Fixed Assets equipment that return to the warehouse due to contract termination and demonstration, as well as to determine its status and final destination

SCOPE

All the equipments intended to Rental or under Seed Project program.

POLÍTICAS

1. Every single equipment return, should be requested by the Sales Representative in charge of the account, directly in the Lotus Notes database CN-Venta Directa, in the module Ordenes de Retiro

2. It is mandatory to have the approval from Credit and Collection in order to validate if customers presents an overdue, and from Sales Administration in order to validate the reason* of the return.

*The return only Will be authorized under the following circumstances:

- Contract expiration
- Contract rescission
- Anticapted termination with its corresponding penalty
- Renewal
- Anticipated renewal

ELABORADO POR	REVISADO POR:	AUTORIZADO POR:
Jaqueline Aquino Supervisor, Administración de Ventas BISG	Arlette Martínez Gerente Senior, Administración de Ventas BISG	Morihiro Eto Director, Administración de Ventas BISG
FECHA: 30/05/2018	FECHA: 30/05/2018	FECHA: 30/05/2018

3. Before proceeding with the withdrawal, it is mandatory to generate a disconnection call in S21, in order that Service can make the proper review, the disconnection and include the final meter in the FSR.

4. Once collected, the equipments should be delivered directly to RFB area in the warehouse.

5. RFB area is responsible for:

    a. Validate the information contained in the report "Orden de Retiro" vs the fixed asset
    b. Review and determine the physical condition (includes list of spare parts required for refurbish purposes)
    c. Categorize according to predefined criteria: discontinued, counter, physical condition. (for further reference, consult Operation Manual)
        i. In case that the conditions for destruction purposes are met, in that moment, the disabling process should be run: ID & Counter cards extraction.
    d. Fill out information in LN database (include picture as evidence)
    e. Rack in defined area

6. The collected equipments, can have one of the following purposes:
    a. Sell to Dealers (in this case, it is not necessary that the equipment is returned to the warehouse, only it is required to make the devolution to WH F1 and wait the PO in order to trigger the invoice)
    b. Sell/Rent with RFB to a Direct Sales customer (different customer from the to which it was originally leased)
    c. Backup
    d. Cannibalization
    e. Destruction

Depending on the purpose, Sales Administration Coordinator will be responsable to generate the warehouse reallocation in S21

7. The sales prices for used equipments are determined under the following criteria:
    a. Counter
    b. Physical condition
    c. Configuration
    d. For the equipments originally attended through Dealers, a discount might be applied considering the savings derived from freight expenses.

8. The used equipments will be offered to the Dealer in sales scheme in the physical condition that the customer delivers it, no warranty will be offered for failures and devolutions are not allowed.

9. For the equipments originally attended through Dealers, as a first option will be offered to the Dealer in the exact same conditions that it is collected. If no approval is received from the Dealer to buy it, Canon Mexicana will proceed to its withdrawal in a maximum term of 1 month.

10. Sales Adminsitration Coordinator is responsible to generate the report with the selection of equipments for destruction. This report must be validated by the Supervisor and authorized by the Manager.

11. Coordinator must go to the warehouse in order to coordinate the segregation process in order to validate that the equipment and its configuration matches physically vs S21, and once this is done, it will be delivered to Accounting, who must perform the audit and labeling process for each equipment.

12. The destruction format should be signed by:
    a. Sales Administration
        i. Coordinator
        ii. Supervisor
        iii. Manager
        iv. Director
    b. Accounting & Finance
        i. Supervisor
        ii. Manager
        iii. Director

13. Once authorized the destruction, General Affairs is in charge of contacting and coordinating the 3rd Party to go to the warehouse and perform:
    a. Physical disabling process
        i. Drum and Fixing Film removal
        ii. Display destruction
        iii. ID & Counter Cards destruction
    b. Picture as evidence
    c. Equipment withdrawal

For further reference, consult Fixed Assets Destruction Workflow.